

Why the Rupiah Keeps Hitting Record Lows

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Thesis: The rupiah fell to a record intraday low of **17,733/USD** (19 May 2026) that push Bank Indonesia to raise interest rates by **50 bp** to **5.25%** on 20 May 2026, marking its first hike since 2024. While this eases some pressure, the real problem to be solved is weak trust in the government's budget. **Base case:** the rupiah stays around **17,400–17,800 in the near term** unless the government shows credibility of budget discipline.

What is happening

The rupiah hit a record low of 17,733/USD on 19 May 2026 (closing at 17,706). Over the past year it has lost about 9% of its value, one of the worst among Asian emerging market currencies. Three things are weighing on it: a strong US dollar (helped by a cautious Fed and higher oil prices from Middle East tensions), foreign investors pulling money out, and worries about government spending.

USD/IDR (May 22)	17,716
YTD depreciation	~6.2%
BI policy rate	5.25%
Inflation (Apr)	2.42%
10Y govt bond	6.71%
FX reserves (Apr)	\$146.2bn

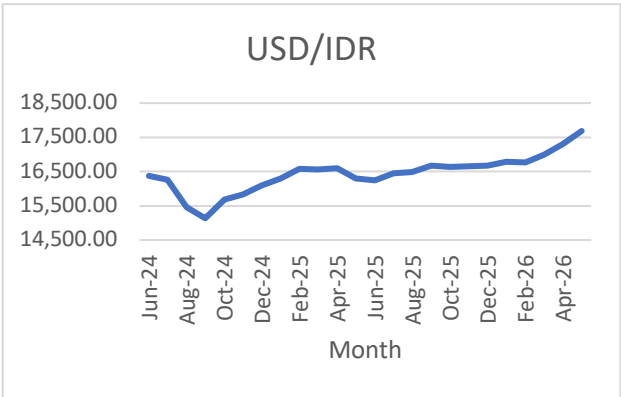
Sources: BI, Trading Economics, TradingView

Three drivers behind the slide

- 1. Strong dollar:** The US dollar is strong because the Fed is keeping rates high and Middle East tensions are pushing investors toward the safe dollar. US 10Y bonds now pay about 4.57%, so Indonesia's 6.71% yield is far less attractive than before. Investors increasingly see emerging markets as a risk rather than a place to earn extra returns.
- 2. Capital flight:** Foreign investors pulled a net Rp51.16tn out of Indonesian stocks and bonds between January and March 2026. Foreign ownership of government bonds has dropped below 14%, the lowest in years. MSCI also removed 19 Indonesian stocks from its index in May, which sped up equity selling. SRBI foreign inflow up to April around 192,2tn, but that was short-term flow because of high yields.
- 3. Fiscal Credibility:** Heavy spending on the Free Nutritious Meals (MBG) programme reached Rp55tn in the first quarter alone, against a yearly limit later cut to Rp286tn (from Rp335tn). Moody's and Fitch have both put Indonesia on a negative outlook over concerns about policy and governance. Foreign reserves have fallen for months to \$146.2bn that's about 5.8 months of imports.

BI's policy dilemma

Bank Indonesia cannot hold the rupiah steady, set its own interest rates, and let money flow freely in and out simultaneously. After keeping rates at 4.75% since October 2025, BI raised them by 0.5% to 5.25% on 20 May 2026, choosing to protect the currency even though higher rates make borrowing more expensive for companies. It makes rupiah savings more attractive and shows BI will act early to defend the currency. Alongside the rate hike, BI launched seven measures to heavy market intervention such as: tighter dollar-buying rules and closer coordination with the government.



Sources: Investing.com

Scenarios into year-end 2026

Bull (25%) Rupiah recovers to about 17,000. The Fed starts cutting rates, BI's hike stops the outflows, and the government sends better budget signals.	Base (60%) Rupiah holds around 17,400–17,800. The rate hike eases pressure for now, but the budget worries stay (small further hikes are possible)	Bear (15%) Rupiah weakens past 18,000. Moody's downgrades Indonesia, the hike fails to restore confidence and reserves drop below \$140bn.
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Beneficiaries	Exporters that earn in dollars gain and higher BI rates help SRBI investors. If the government tightens its dollar-retention rules or raises export taxes, the benefit is ambiguous.
Vulnerable	Importers and companies with dollar debt (higher borrowing costs after the 0.5% hike)
Watch	MSCI index changes on 29 May, BI's June meeting, Moody's rating review, the Fed's June outlook, and Q2 government spending and reserves.

Sources: Bank Indonesia, ANTARA News, Trading Economics, IDNFinancials, Tempo, Bloomberg Technoz, Kompas, Indonesia Business Post, and Asia Times